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PERFORMANCE EVALUATION OF SECTOR-SPECIFIC MUTUAL FUND SCHEMES IN THE INDIAN CAPITAL MARKET

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ABSTRACT:

Unit trust business in India has grown a lot in last few years. This growth happened because of changes in rules, more people learning about investment and enlarging the amount of person investing entering market. Sector specific unit trusts collected good eyes on nowadays. These funds focus only on one particular sector and have chance to give higher returns when that sector doing well. They invest money only in single area like banking IT pharmaceuticals or infrastructure. This way investors can take full benefit of growth in that specific sector.

But this concentrated strategy also brings more risk. Performance of these funds depends very heavily on sector related factors such as government policy changes demand shifts and economic conditions. Sectoral funds are much more volatile and sensitive to market ups and downs as compare to normal diversified mutual funds.

This study try to evaluate performance of some sector specific mutual funds in India. It uses secondary data mainly NAV. Performance measured with safe measures like Jensen Alpha Ratio and Sharpe Ratio. Results shows returns are very different across sectors and time periods. Some got good than benchmark while many others underperformed. Sectoral mutual funds can give good returns but investors must carefully understand risks involved and take smart decisions.

Keywords: Indian Capital Market, Sectoral Mutual Funds, Risk Adjusted Performance, Sharpe Ratio, Treynor Ratio.

1. INTRODUCTION

Indian capital market is central for creating people save money and invest it which help economy to grow and develop. Indian transaction sector has transformed a lot in few years due to new rules new technologies and more participation from individual investors and also institutional investors. Coming of modern trading systems dematerialization of securities and better regulations have made market more efficient and open for everyone. SEBI and other bodies play big role to protect investors keep markets fair and build trust so more people find capital market attractive.

In this dynamic economic world mutual funds have become very important investment option. They allow common people to participate in monetary place through good handled portfolios. Many person who invest gather money together in pooled source fund which then allocate in various assets like stocks bonds and money market securities. This collective way reduces risk for single person and gives benefit of diversification without needing much market knowledge. Professional fund managers use research and tools to make good investment choices for higher returns with less risk. Because of this ordinary investors who want convenience diversification and expert management have started preferring mutual funds. Different types like equity source debt money hybrid funds and index funds to match different risk levels and financial goals.

In some years joint fund sector in India has grown tremendously in AUM number of schemes and number of investors. More people becoming financially aware having more money to invest and focusing on long term planning. Systematic Investment Plans (SIPs) becoming very popular as it allow small regular investments. Also rise of digital platforms and mobile apps made investing simple for new investors. Government and industry investor education programs also helped mutual funds reach semi urban and rural areas which increased number of investors a lot.

Sector specific mutual funds have achieved huge attraction than other funds because of their focused approach and chance of higher returns. These funds invest only in one sector like banking IT pharma infrastructure or energy. Sector funds try to take full advantage of growth in particular industry while diversified funds spread money across many sectors to reduce risk. This targeted way helps managers utilise sector trends policy support and industry developments better.

For example IT sector grew fast due to technology changes digital transformation and globalisation. Government infrastructure push through big projects helped infrastructure sector. Pharmaceutical industry grew because of health awareness better research and global demand for medicines. This shows sector specific mutual funds can give good profits when their sector performs well.

But success of these funds depends heavily on stability and growth of chosen sector. Economic conditions government policies interest rates and new technologies are key factors. Banking funds affected by credit growth monetary policy and regulations. IT funds depend on global demand for digital services. These funds have more sector specific risks than other funds. Any bad change like new rules economic slowdown or technology disruption can badly hit whole sector and the funds investing in it.

Because of this sector specific pooled money are more changing in nature and more affected by market changes. When market good they give very high returns but when market down they lose heavily. So investors must carefully think about both returns and risks before putting money. They need strong attention on risk return balance for good portfolio performance.

Many quantum measures are there to evaluate mutual fund performance like Sharpe Ratio Jensen's Alpha and Treynor Ratio. Sharpe ratio measure extra return per unit of total risk. Treynor ratio compare returns with systematic risk using beta. Jensen's Alpha shows how much manager beat market benchmark. When all combined it gives full picture of performance looking at both risk and return.

With sector specific mutual funds becoming popular it is important to check if they really give better risk adjusted returns. This calculation supports person who invest create smart choices manage portfolio risk and also gives insights to analysts and policymakers about effectiveness and long term viability of sector focused strategies in capital market.

Using key risk adjusted metrics like Sharpe Ratio Treynor Ratio and Jensen's Alpha this study tries to evaluate performance of selected area centric pooled money schemes in India. Main aim is to give clear understanding of their return generating capacity risk exposure and overall potential so investors can take more informed decisions.

TABLE 1: Key Characteristics of Sector-Specific Mutual Funds

Feature	Description
Investment Focus	Invests in a single sector such as IT, banking, pharma, or infrastructure
Diversification	Limited diversification compared to diversified mutual funds
Return Potential	High during favourable sector growth cycles
Risk Level	High due to concentration in one sector
Market Dependency	Strongly dependent on sectoral and economic conditions
Volatility	Higher compared to diversified equity funds

Investor Suitability	Comfortable for investors with good risk tolerance and sector knowledge
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Source: Arrived from the findings of the present study.

2. LITERATURE REVIEW

Researchers from India and other countries have studied performance of mutual funds specially sector specific ones very closely. These studies mostly look at risk outcome balance fund manager skills market timing ability and how mutual funds perform compare to benchmark indices. Indian unit money industry has changed alot over time due to new regulations better technology and more investors joining. This fast growth attracted lot of attention from researchers which resulted in many studies trying to learn how good joint money funds work in different market conditions.

William F. Sharpe was one of first important person who helped in checking mutual fund performance. He developed Sharpe Ratio which measure risk adjusted returns. This mechanism utilises standard deviation for total risk and see how much return fund gives for risk taken. Sharpe Ratio was first step toward modern portfolio performance measurement. It stressed higher returns should always seen along with risk involved. Jack Treynor built on this and created Treynor Ratio which looks at systematic risk measured by beta. Treynor said for diversified investors only systematic risk matters so performance should judged only on that not total risk.

Michael C. Jensen took this further by developing Jensen's Alpha which shows how much extra return portfolio makes above what CAPM predicts. These models now became basic tools for analysing mutual fund performance and widely used in both developed and developing markets like India.

To sum up previous research shows mutual funds are good investment option because easy to access but their performance depends on many things like market conditions skill of fund manager risk appetite and macroeconomic factors. Sector specific mutual funds in particular have power for greater outcome because focus on single sector. But are also riskier and more volatile.

So person investing should utilise proper risk adjusted measures to evaluate these funds and match with their own risk management and money goals.

2.1 Early Studies on Mutual Fund Performance

Early studies on joint unit money performance mainly worked on developing models that can properly measure returns in link to risk. Sharpe came with Sharpe Ratio which compares extra return above risk free rate with total risk. This gives overall picture of portfolio performance. This model stressed fund success cannot judged only by returns it must also consider how much risk taken for those returns.

Treynor improved performance evaluation further by creating Treynor Ratio which focuses only on systematic risk. After diversification only systematic risk remains important for judging fund performance. This view was specially useful for well diversified portfolios and played central role in development of modern investment theory. These early studies laid foundation for later research on mutual fund performance evaluation.

2.2 Jensen's Alpha and Risk-Adjusted Performance Models

Jensen developed Jensen's Alpha which shows how much extra return fund manager generates above CAPM expectation. Positive alpha means fund manager outperformed market benchmark which good sign. This measure widely used to judge fund manager skill and investment ability.

As Indian mutual fund sector grew researchers started using these models heavily. Tripathy found only few mutual fund schemes consistently beat their benchmarks which highlights difficulty in achieving long term superior performance. Research by Sehgal and Babbar showed mutual fund performance not stable over time and gets heavily affected by changing market conditions and investment strategies.

2.3 Studies on Mutual Fund Performance in India

Because unit trust area in India growing so fast many good work have checked performance of unit trust schemes in Indian financial market.

These studies usually use risk adjusted performance metrics to evaluate fund manager ability to generate returns that justify risks taken. Tripathy did empirical analysis of ELSS and found only few funds consistently outperformed benchmark indices. The study stressed need of including risk in performance evaluation instead of only looking at returns. Debasish examined mutual fund schemes using various performance measures and concluded investors often ignore risk factors while taking investment decisions which leads to poor outcomes.

TABLE 2: Comparison of Risk-Adjusted Performance Measures (Sharpe, Treynor, and Jensen's Alpha)

Author(s) & Year	Study Focus	Method Used	Key Findings
Sharpe (1966)	Mutual fund performance evaluation	Sharpe Ratio	Performance must consider risk-adjusted returns
Treynor (1965)	Portfolio performance	Treynor Ratio	Focus on systematic risk (beta)

Jensen (1968)	Mutual fund returns vs CAPM	Jensen's Alpha	Many funds fail to outperform market consistently
Tripathy (2006)	ELSS mutual fund performance in India	Risk-adjusted measures	Limited funds outperform benchmarks
Debasish (2009)	Comparative MF performance in India	Sharpe, Treynor, Alpha	Risk-adjusted analysis is more reliable
Sehgal & Babbar (2017)	Indian mutual fund evaluation	Empirical analysis	Performance varies with market conditions
Kaur & Gautam (2020)	Sectoral mutual fund performance	Risk-return analysis	High return potential with high volatility

Source: Compiled by the author from various studies including Sharpe, Treynor, and Kaur & Gautam.

2.4 Studies on Sector-Specific Mutual Funds

Sector specific mutual funds are getting lot of importance these days because of their focused investment strategy and chance of giving higher profits. Kaur and Gautam found that these funds usually do better than diversified funds during time of strong sectoral growth as they can take full advantage of good industry trends. But the work also torched that these funds have more volatility and higher risk because their portfolio is very much concentrated. Sehgal and Babbar research also support this by showing that sector focused mutual funds are very sensitive to economic changes. These funds perform very good when economy growing and their sector booming but they do very poor when economy slow down or sector conditions become bad.

2.5 Research Gap

Despite so much work on joint money performance still some big gaps are there. Majority of big studies done so far mainly looked only at diversified mutual funds. There is not much focus on sector specific schemes. Also lot of studies use only short period data or just one performance measure which not show proper long term trends and real risk return dynamics.

Indian monetary market has also changed a lot in some years due to digitalisation more online trading and frequent rule changes. These changes might have affected performance of mutual funds specially sector specific ones.

Therefore a focused and updated evaluation of sector specific joint unit funds utilising different risk adjusted performance metrics is much needed. This study tries to fill these gaps by evaluating selected area specific unit trust fund schemes in India looking at their risk return profiles and comparing their performance with suitable benchmarks. The findings expected to give useful insights to investors researchers and policymakers for making better investment decisions and understanding sector focused investment strategies better.

3. RESEARCH DESIGN / MODEL

This study uses descriptive and analytical type research design for checking performance of some selected area centric joint unit fund schemes in Indian financial market. Descriptive part describes about funds main characteristics and how they behave while analytical part checks their performance with help of numbers and calculations. Main purpose of this work is to properly analyse risk return profile of chosen schemes by using different financial metrics so that good structured analysis of their success according to risk taken can be presented.

The research completely depends on secondary data which is collected from reliable places like AMFI, official fund house websites and various financial reports. This kind of data gives accurate historical information which is very useful for seeing trends over time. All calculations are done mainly with NAV data. NAV data is used for calculating returns and different performance measures because NAV represents per unit value of mutual fund.

Selection of sector specific schemes from important areas like banking IT pharmaceuticals and infrastructure has been done. These sectors are very important for Indian economy and are also well represented in capital market. While choosing schemes things like data availability investor popularity and proper sector representation are kept in mind. First step in analysis is to take historical NAV data and calculate average returns. But only returns are not enough because higher returns usually come with more risk. So both danger and outcome are considered together. Standard deviation and beta are used to measure risk of these funds. Standard deviation shows how much returns fluctuate and beta tells how sensitive fund returns are to overall market changes.

TABLE 3: Sample Sector-Specific Mutual Fund plans selected for analysis

SECTOR	AVG RETURN	STD DEV	BETA	SHARPE RATIO	TREYNOR RATIO	JENSEN'S ALPHA
IT	14.5	12.2	1.10	0.82	0.12	2.5
BANKING	13.2	13.5	1.25	0.70	0.10	1.8
PHARMACEUTICAL	11.8	10.8	0.95	0.76	0.11	2.1
INFRASTRUCTURE	10.5	14.2	1.30	0.60	0.08	1.2

Source:

AMFI,2018

The research also use Treynor Ratio Sharpe Ratio and Jensen Alpha for performance checking. Jensen Alpha show how good fund manager doing by comparing abnormal returns with what CAPM model expect (Jensen, 1968).

These metrics help for proper comparison of mutual fund performance with market benchmark. The study finally check whether sector specific mutual funds give superior risk adjusted returns and how effective sector focused investment strategy in Indian monetary market.

4. DATA ANALYSIS AND FINDINGS

Examination of area centric joint unit fund schemes shows very big differences in performance between different industries in Indian capital market. These funds follow very concentrated investment strategy by putting all lump sum money in only one industry. Because of this their performance depends very heavily on growth of that sector government policies and new technologies coming.

Return analysis shows that some sectoral funds make good money when their industry growing very fast. Funds investing in technology and banking do well due to digital growth financial reforms and more economic activities. IT sector has seen strong growth because of global demand for online services and cloud computing. This has allowed IT focused funds to generate huge returns. Also banking sector funds perform good when economy growing fast because high demand for credit and more financial activities.

TABLE 4: Investor Suitability for Sector-Specific Mutual Funds

CRITERIA	SECTOR SPECIFIED FUNDS	DIVERSIFIED EQUITY FUNDS
DIVERSIFICATION	LOW	HIGH
RISK LEVEL	HIGH	MODERATE

RETURN POTENTIAL	HIGH (in favourable cycles)	STABLE
VOLATILITY	HIGH	MODERATE
DEPENDENCY	SINGLE SECTOR	MULTIPLE SECTORS
SOLUBILITY	AGGRESSIVE INVESTORS	CONSERVATIVE INVESTORS

Source: Author's compilation based on mutual fund investment principles and financial literature (Tripathy, 2006; Debasish, 2009).

Other sectors like pharma and infrastructure also effect how well these funds do. Pharmaceutical funds get benefit from increasing demand of healthcare all over world while infrastructure funds get help from government schemes for building and development. These things clearly show that sector specific funds performance very closely tied with ups and downs of that sector and government support.

On other hand sector specific mutual funds are much more fluctuating compare to diversified funds even they can give very large returns. Because they focus only on one sector, they face higher risk from things like sudden rule changes technology problems and shifts in customer demand. Also, cyclic changes in industry can badly hit returns which make portfolio value very unstable.

To handle this research evaluate fund performance through risk adjusted metrics. Sharpe Ratio show that some funds give good returns compare to total risk while others not. Treynor Ratio tell how different funds manage systematic risk some do better job others not. Jensen Alpha show some funds beat market expectation while many others perform worse.

Overall area centric joint unit funds have good chance to make money when conditions favourable but they also much riskier. Their performance depend heavily on sector trends and economy conditions. So before putting money investors should carefully check risk adjusted performance to take smart decisions.

5. CONCLUSIONS AND FUTURE SCOPE

5.1 Conclusions

By examining danger and return features of particular sector focused mutual fund schemes in Indian monetary place this study try to investigated their performance. These funds getting more popular day by day because they only put money in high growth industries. But because they are very much focused they

are riskier for investors than normal diversified funds. So it is central to use risk adjusted measures to properly judge how well they actually perform.

The work showed that performance is very different in different sectors. When economy grows fast and technology improves sectors like financial services and information technology tend to make more money. Same thing true for pharmaceutical and infrastructure sectors which do well when medical demand increase or government take big actions. This means sector specific mutual funds can give very high returns when economy is doing good.

Using Treynor Ratio Sharpe Ratio and Jensen Alpha give good knowledge about how well fund actually works. Some funds show strong risk adjusted returns which means they managed well. Others not consistently beat benchmarks when risk taken into account. This clearly point how central it is to look at both return and risk together not only returns.

Area centric joint money in general might be beneficial for investors who understand industry trends and willing to take more risks. They have potential to grow big but investors should be very very cautious because these funds highly sensitive to economic shifts and sector specific problems.

5.2 Future Scope

The given work has some flaws which open possibility for extra research to be done. Future studies may broaden analytical framework by taking larger sample of area centric joint money schemes from various economic sectors. Researchers can also extend time period of analysis to cover long term performance trends and full economic cycles. Upcoming work may also utilise more complex asset value checking models and performance evaluation methods like multi factor models to get better understanding of unit trust performance. Comparative studies between sector specific joint unit funds and diversified equity funds may give important findings for both investors and policymakers.

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